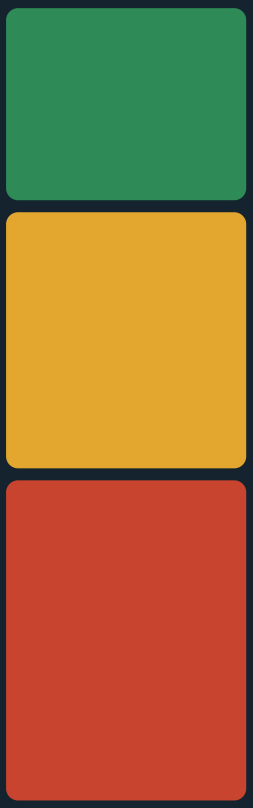
greymetre

BUSINESS GUIDE



Five Signs Your Inventory Planning Is Costing You Working Capital

Why forecast-driven MRP struggles in today's Indian market, and what demand-driven planning does differently.

5
warning signs

10-point
scorecard

10 min
read

WHY THIS GUIDE

Most manufacturers don't have an inventory problem. They have a planning-method problem.

Forecast-driven MRP was designed for stable demand and short, predictable lead times. Indian manufacturers today face the opposite: volatile dealer orders, festive and seasonal spikes, imported components with long lead times, and customers who expect next-day availability.

Push a forecast-driven plan through that environment and the same pattern appears everywhere. Warehouses are full, yet the items customers want are short. Planners work late every month-end. Working capital keeps climbing.

This guide covers five warning signs that your planning method, not your people or your demand, is the constraint, and what demand-driven planning does differently.

Contents

01 Shortages and excess at the same time 3

02 Forecast accuracy never improves 4

03 The schedule changes every day 5

04 Planners live in Excel 6

05 Working capital outgrows service 7

What changes with demand-driven planning 8

Scorecard and next steps 9

01 SIGN ONE

You have shortages and excess stock at the same time

If your warehouse is overflowing but sales still complain about stock-outs, the plan is putting inventory in the wrong places.

What it looks like

- Fast movers run short while slow movers pile up in the same month.
- Dead and slow-moving stock grows quarter after quarter.
- Fill rates to dealers stay stuck, even as total inventory rises.
- Each shortage triggers an emergency purchase or production run, which adds even more stock later.

What it costs

You pay twice. Cash is locked in the wrong stock, and you still lose sales on the right stock. Expediting adds freight, overtime and changeover costs on top.

WHAT RARE OS CHANGES

Instead of spreading inventory everywhere by forecast, DDMRP places stock buffers only at strategic decoupling points. Each buffer is sized from actual consumption, lead time and variability, so items that need protection get it and the rest are not stocked just in case.

02 SIGN TWO

Forecast accuracy is your main KPI, and it never improves

If every review meeting ends with "we need a better forecast," you are trying to fix the plan by predicting the unpredictable.

What it looks like

- Sales, marketing and planning argue every month about whose numbers to use.
- Forecast accuracy at SKU-location level stays poor despite new tools or consultants.
- Every forecast miss flows straight into purchase and production orders.
- Planners spend more time defending the forecast than acting on it.

What it costs

Forecast error is amplified at every step up the supply chain. A small miss at the dealer becomes a large swing at the factory and a bigger one at your suppliers. Teams lose trust in the plan and start keeping private buffers.

WHAT RARE OS CHANGES

Forecasts are still used, but for strategy and capacity, not for daily replenishment. Day-to-day orders are generated from actual demand against buffer levels. You stop needing a perfect forecast to run the business well.

03 SIGN THREE

Your production schedule changes every day

If the plan made on Monday is unrecognisable by Wednesday, the shop floor is reacting to noise, not demand.

What it looks like

- Frequent schedule breaks, rush jobs and "hot lists" from sales.
- High changeover losses because batches are split and re-sequenced.
- Material arrives for orders that have already been deprioritised.
- The plant head and the planner talk more about firefighting than about throughput.

What it costs

Every reschedule eats capacity. Lead times stretch, on-time delivery falls, and overtime becomes routine. Suppliers get the same churn, so their reliability drops too.

WHAT RARE OS CHANGES

Buffers absorb normal variability, so small swings in demand don't ripple into the schedule. Orders are prioritised by buffer status (red, yellow, green), giving the floor one clear, shared view of what matters right now.

04 SIGN FOUR

Your planners live in Excel on top of the ERP

If the real plan sits in a spreadsheet that only two people understand, your ERP is a record-keeper, not a planning system.

What it looks like

- MRP suggestions are exported, overridden and re-entered by hand.
- Safety stock and reorder levels were set years ago and never revisited.
- Planning stops when a key planner is on leave.
- Different plants or warehouses plan the same items in different ways.

What it costs

The business depends on individual heroics. Errors creep in through manual handling, decisions can't be audited, and the planning logic can't scale as SKUs, plants or channels grow.

WHAT RARE OS CHANGES

Buffer sizes recalculate automatically from recent consumption and lead times. The planning layer sits on top of your ERP, so SAP, Oracle or Tally stays the system of record. You replace the spreadsheet, not the ERP.

05 SIGN FIVE

Working capital rises with revenue, but service doesn't

If every rupee of growth needs more than a rupee of extra inventory, the planning model won't let you scale profitably.

What it looks like

- Inventory days hold steady or rise even as sales grow.
- The CFO asks for stock cuts, and service drops as soon as you make them.
- Bank limits are stretched to fund stock, not growth.
- Every new product line or channel adds a fresh layer of inventory.

What it costs

Growth gets funded by debt instead of cash flow. The trade-off between inventory and service feels unavoidable, so the business keeps choosing one at the expense of the other.

CLIENT EXAMPLE · VALVES AND ACTUATORS

A TOC-aligned organisation and replenishment across distributors, plants and suppliers. In year one: sales up 35%, delivery performance from 70% to 90%, manufacturing lead time down 60%.

WHAT RARE OS CHANGES

By holding the right stock in the right places, DDMRP breaks the inventory-versus-service trade-off. The aim is lower total inventory and better fill rates at the same time, freeing cash for growth.

THE ALTERNATIVE

What changes with demand-driven planning

Demand-driven planning (DDMRP) keeps what works in MRP and replaces the part that breaks under volatility: pushing every order from a forecast.

	Forecast-driven MRP	Demand-driven MRP
What drives orders	Forecast	Actual demand against buffers
Where stock is held	Everywhere, by forecast	At chosen decoupling points
How stock levels are set	Static safety stock, set once	Buffers that recalculate from usage and lead time
How priorities are set	Due dates	Buffer status: red, yellow, green
Effect of a forecast miss	Ripples through the whole chain	Absorbed by the buffer
Role of the forecast	Runs daily operations	Guides strategy and capacity



How a buffer works

Green: enough stock; no action needed.

Yellow: stock has fallen into the reorder zone; place a replenishment order.

Red: protection is being used up; this order gets top priority.

It does not require a new ERP: it sits on top of yours. It is called RARE OS, an operating system for moving market share. Most companies start with one product family before scaling.

SELF-ASSESSMENT

Scorecard: where do you stand?

Tick each statement that is true for your business today.

- [ ] 01 We have stock-outs on some items while others have months of cover.
- [ ] 02 Slow-moving or dead stock has grown in the last year.
- [ ] 03 Our forecast accuracy hasn't improved meaningfully in two years.
- [ ] 04 Forecast misses go straight into purchase and production orders.
- [ ] 05 The production schedule changes several times a week.
- [ ] 06 Expediting and rush orders are part of normal operations.
- [ ] 07 Planners override most MRP suggestions in Excel.
- [ ] 08 Safety stock levels haven't been reviewed in the last year.
- [ ] 09 Inventory days have not fallen as revenue has grown.
- [ ] 10 Cutting inventory immediately hurts service levels.

0–2 ticks

Planning is in good shape. Review buffers annually.

3–5 ticks

You're leaving working capital on the table. A focused pilot will show where.

6 or more

Your planning method is now a constraint on growth.

NEXT STEPS

Start small, prove it, then scale

1. **Pick one product family**
   Choose one with visible shortage-and-excess pain.
2. **Pull 12 months of data**
   Consumption, lead times and stock levels are enough to start.
3. **Run a buffer simulation**
   See what inventory and service would have looked like under DDMRP.
4. **Pilot, then scale**
   Prove the result on one family before extending across plants.

Scored 3 or more? Get a free planning health check.

In 30 minutes, we review your scorecard and show you where a demand-driven pilot would pay back fastest. No obligation.

BOOK
calendly.com/anadi-greymetre/30min

EMAIL
anadi@greymetre.com

CALL
+91 91316 78419

© 2026